Subject : Introduction to Management

Unit 1: Introduction

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✓ Management: Concept

Basically, there are **Five concepts** of management. They are explained as below:

1. Functional concept

Management basically is the ***task of planning, coordinating, motivating and controlling the efforts of other*** towards the goals and objectives of the organization. According to this concept, management is what a manager does (planning, executing, and controlling)

2. Human relation concept

According to this concept, Management is the art of ***getting things done*** through and with people in organized groups. It is the art of creating an environment in which people can perform and individuals could cooperate towards attaining of group goals.

3. Leadership and decision-making concept

According to this concept, management is the art and science of preparing, organizing, directing ***human efforts*** applied to control the forces and utilize the materials of nature for the benefits to man.

4. Productive concept

According to this concept, management may be defined as the art of securing ***maximum prosperity with a minimum effort*** so as to secure maximum prosperity and happiness for both employer and employee and provide best services thereby.

5. Integration concept

According to this concept, management is the ***coordination of human and material resources*** towards the achievement of organizational goal.

✓ Management: Meaning

- The term **'management'** has been used in different senses. Sometimes it refers to the process of planning, organizing, staffing, directing, coordinating and controlling, at other times it is used to describe it as a function of managing people. It is also referred to as a body of knowledge, a practice and discipline. There are some who describe management as a technique of leadership and decision-making while some others have analyzed management as an economic resource, a factor of production or a system of authority.

- Management is a set of principles relating to the functions of planning, organizing, directing and controlling, and the application of these principles in harnessing physical, financial, human, and informational resources efficiently and effectively to achieve organizational goals.

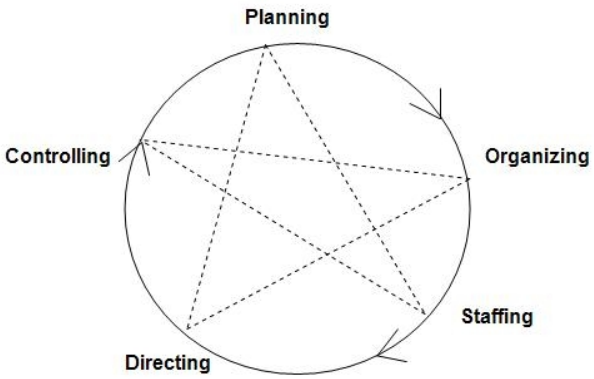
Definition

According to F.W. Taylor, ' Management is an art of knowing what to do when to do and see that it is done in the best and cheapest way '.

✓ *Management: Functions*

Different experts have classified functions of management. According to *George & Jerry*, "There are four fundamental functions of management i.e. planning, organizing, actuating and controlling".

According to Henry Fayol, "To manage is to forecast and plan, to organize, to command, & to control". Whereas Luther Gullick has given a keyword '**POSDCORB**' where P stands for Planning, O for Organizing, S for Staffing, D for Directing, Co for Co-ordination, R for Reporting & B for Budgeting. But the most widely accepted are functions of management given by KOONTZ and O'DONNEL i.e. **Planning**, **Organizing**, **Staffing**, **Directing** and **Controlling**.



1. Planning
It is the basic function of management. According to KOONTZ, "Planning is deciding in advance - what to do, when to do & how to do. It bridges the gap from where we are & where we want to be". A plan is a future course of actions. It is an exercise in problem solving & decision making. Planning is determination of courses of action to achieve desired goals.
2. Organizing
It is the process of bringing together physical, financial and human resources and developing productive relationship among them for achievement of organizational goals. Organizing as a process involves:
- Identification of activities.
- Classification of grouping of activities.
- Assignment of duties.
- Delegation of authority and creation of responsibility.
- Coordinating authority and responsibility relationships.

3. Staffing

Staffing has assumed greater importance in the recent years due to advancement of technology, increase in size of business, complexity of human behavior etc. The main purpose of staffing is to put right man on right job. It involves:

-Manpower Planning (estimating manpower in terms of searching, choose the person and giving the right place).

-Recruitment, Selection & Placement.

-Training & Development.

-Remuneration.

-Performance Appraisal.

-Promotions & Transfer

4. Directing

Direction is that inert-personnel aspect of management which deals directly with influencing, guiding, supervising, motivating for the achievement of organizational goals. Directing has following elements:

-Supervision

-Motivation

-Leadership

-Communication

5. Controlling

Controlling is the measurement & correction of performance activities of subordinates in order to make sure that the enterprise objectives and plans desired to obtain them as being accomplished. Therefore controlling has following steps:

-Establishment of standard performance.

-Measurement of actual performance.

-Comparison of actual performance with the standards and finding out deviation if any.

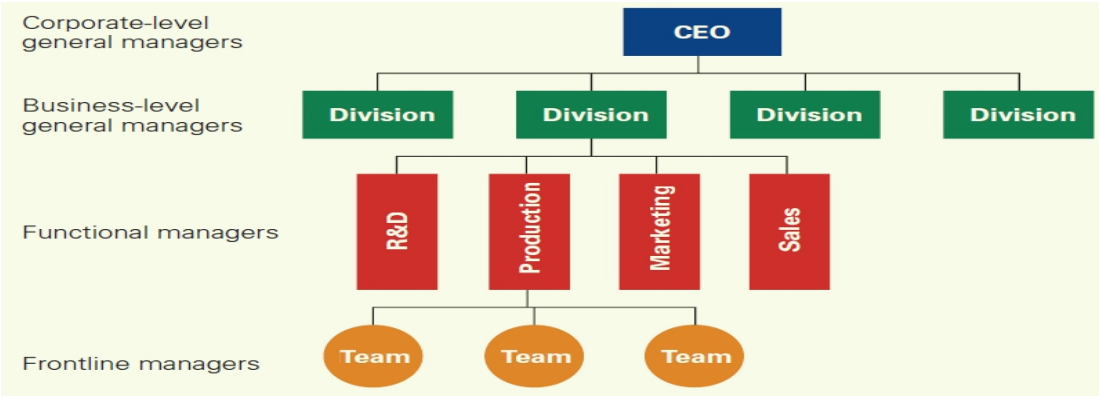
-Corrective action

✓ *Types of managers.*

Managers are found at multiple levels in an organization. There are **three main types of managers:** general managers, functional managers, and frontline managers.

- **General managers** are responsible for the overall performance of an organization.
- **Functional managers** lead a particular function or a sub-unit within a function. They are responsible for a task, activity, or operation such as accounting, marketing, sales, R&D, production, information technology.
- **Frontline managers** manage employees who are themselves not managers. They are found at the lowest level of the management hierarchy.

Multi-divisional enterprises have **four main levels** of management: the corporate level, the business level, the functional level, and frontline managers. **General managers (GM) are found at the corporate and business levels.** Functional managers are found within the divisions where they manage functions or sub-units within those functions. Frontline managers are found deep within functions managing teams of non management employees.



1. Corporate-Level General Managers

The principal general manager at the corporate level is the chief executive officer (CEO), who leads the entire enterprise. In a multi-divisional enterprise the CEO formulates strategies.The CEO exercises control over divisions, monitoring their performance and deciding what incentives to give divisional heads. Finally, the CEO helps develop the human capital of the enterprise.

2. Business-Level General Managers

With a multi divisional enterprise, business-level general managers head the different divisions. Business-level general managers lead their divisions—motivating, influencing, and directing their subordinates—and are responsible for divisional performance. Business-level general managers translate the overall strategic vision for the corporation into concrete strategies and plans for their units.

3. Functional Managers

Below general managers we find functional managers, who are responsible for specific business functions. The head of each function leads that function. Functional managers motivate, influence, and direct others within their areas. Although they are not responsible for the overall performance of the organization, functional managers nevertheless have a major strategic role: to develop functional strategies and draft plans in their areas that help fulfill the strategic objectives set by business and corporate-level general managers.

4. Frontline Managers

Furthest down the management hierarchy are frontline managers, who manage employees who are themselves not managers. A frontline sales manager might manage 8 salespeople; a frontline manager in manufacturing might manage a work group of employees who physically assemble a product; and a frontline engineering manager in a software company might manage a group of developers writing computer code.

✓ ***Managerial roles and skills.***

Managerial Roles:

Mintzbergs a management thinker identified ten roles and classified them within three broad categories.

1. Interpersonal Roles
2. Informational Roles
3. Decisional Roles

1. Interpersonal Roles:

a. **Figure head role:** In this role a manager performs symbolic duties required by the status of his office. His activities include to greet the visitors.
b. **Leader:** A Manager is responsible for the motivation and activation of subordinates. He is responsible for staffing, training and associated duties.
c. **Liaison:** It describes a manager's relationship with the outsiders. A manager maintains smooth relation with other organization.

2. Informational Roles:

a. **Monitor:** A manager scans the environment and collects internal and external information.
b. **Disseminator:** Manager distributes the information to his subordinates in order to achieve organizational objectives.
c. **Spokes person:** A Manager transmits the information to the outside of the organization.

3. Decisional Role:

a. **Entrepreneur:** Initiates and supervises design of organizational improvement projects.
b. **Disturbance handler:** A manager is responsible for taking corrective action when organization faces problem.
c. **Resource allocated:** Manager is responsible for allocation of human, monetary and material resources.
d. **Negotiator:** As a manager he bargains with suppliers, dealers, trade union, agents etc.

Managerial Skills:

According to American social and organizational psychologist Robert Katz, the three basic types of management skills include:

1. Technical skills:

- Technical skills refer to the ability and knowledge in using the equipment, techniques and procedure involved in performing specific tasks.
- Technical skills lose relative importance at higher levels of the management hierarchy, but most top executives started out as technical experts.

2. **Human or Interpersonal skills:**

- Human skills refer to the ability of a manager to work effectively with other people both as individual and as members of a group.
- Human skills are concerned with understanding of people.
- These are required to win cooperation of others and to build effective work teams.

3. **Conceptual skills:**

- Conceptual skills involve the ability to see the whole organization and the interrelationships between its parts.
- These skills refer to the ability to visualize the entire picture or to consider a situation in its totality.
- These skills help the managers to analyze the environment and to identify the opportunities.
- Conceptual skills are especially important for top-level managers, who must develop long-range plans for the future direction of their organization.

✓ *Organization management*

What is Organization Management ?

- Organization management refers to the art of getting people together on a common platform to make them work towards a common predefined goal.
- Organization management enables the optimum use of resources through planning and control at the workplace.
- Organization management gives a sense of direction to the employees. The individuals are well aware of their roles and responsibilities and know what they are supposed to do in the organization.

Need for Organization Management

- Organization management gives a sense of security.
- An effective management is required for better coordination among various departments.
- Employees accomplish tasks within the stipulated time frame as a result of effective organization management.

- Employees stay loyal towards their job and do not treat work as a burden.
- Effective organization management leads to a peaceful and positive ambience at the workplace.

Essential Features of Organization Management

1. **Planning**

    - Prepare an effective business plan. It is essential to decide on the future course of action to avoid confusions later on.
    - Plan out how you intend to do things.

2. **Organizing**

    - Organizing refers to the judicious use of resources to achieve the best out of the employees.
    - Prepare a monthly budget for smooth cash flow.

3. **Staffing**

    - Poor organization management leads to unhappy employees who eventually create problems for themselves as well as the organization.
    - Recruit the right talent for the organization.

4. **Leading**

    - The managers or superiors must set clear targets for the team members.
    - A leader must make sure his team members work towards a common objective. He is the one who decides what would be right in a particular situation.

5. **Control**

    - The superiors must be aware of what is happening around them.
    - Hierarchies should be well defined for an effective management.

6. **Time Management**

    - An effective time management helps the employees to do the right thing at the right time.

7. **Motivation**

    - Motivation goes a long way in binding the employees together.
    - Appreciating the employees for their good work.

✓ ***Changing perspectives of organization***

The organization is defined and viewed differently at different time period. Previously, it was only considered as a people gathering place where workers do what the employer asked them to do, there was no concerned about the relation of work and

people performance. But as the time passes by, the concept of work, workers and workplace has been gradually changing. Organization is not only the gathering place, it is a place where people are embrace as an asset and help them to groom their abilities and make them competent to accept and overcome any environmental changes.

The changing perspectives of organization are as follows

a. Organization as an Open System

Business Organization are perceive as open adaptive system. Any organism can be considered as an energy system which has inputs, transformation process and outputs. All operation of system will be methodical and regular. In business many division and departments are organized on functional bases and all act as coordinated whole to achieve the basic objectives of the firm.

b. Organization as culture

The organizational cultural perspective states that many organizational behaviour and decisions are predetermined by the pattern of basic assumptions (beliefs, values) held by the members of an organizations. Different studies suggested that, organizational culture acts as powerful forces in influencing organizational life.

c. Organization as a learning system

From this perspective organization is describe as a living and thinking open system. Organization continuously learn from their history, experience and environment and adjust accordingly .To be an effective, organization have to learn and develop new capabilities on a continuous basis. Sharing knowledge, experience and ideas is habit of learning organization. Thus, learning competency of organization plays an important role in strategic planning process.

d. **Mechanistic viewpoint on Organization**

This perspective states that organization as a machine. Many classical theories of organization represent this view. It believes on fixed working hours, production schedules, maintenance schedules, financial control system, quality control system, sales targets, code of conduct, clear job description and procedures etc.